[10] **See Matthew Morey, "Rating the Raters: An Investigation of Mutual Fund Rating Services," *Journal of Investment Consulting,* vol. 5, no. 2, November/ December, 2002. While its star ratings are a weak predictor of future results, Morningstar is the single best source of information on funds for individual investors.**

[11] **Unlike a mutual fund, a closed-end fund does not issue new shares directly to anyone who wants to buy them. Instead, an investor must buy shares not from the fund itself, but from another shareholder who is willing to part with them. Thus, the price of the shares fluctuates above and below their net asset value, depending on supply and demand.**

[12] **For more information, see www.morningstar.com and www.etfconnect. com.**

[13] **Unlike index mutual funds, index ETFs are subject to standard stock commissions when you buy and sell them—and these commissions are often assessed on any additional purchases or reinvested dividends. Details are available at www.ishares.com, www.streettracks.com, www.amex.com, and www.indexfunds.com.**

[14] **See Sequoia's June 30, 1999, report to shareholders at www.sequoia fund.com/Reports/Quarterly/SemiAnn99.htm. Sequoia has been closed to new investors since 1982, which has reinforced its superb performance.**

[15] **Jason Zweig, "What Fund Investors Really Need to Know," *Money,* June, 2002, pp. 110–115.**

[16] **See interview with Ellis in Jason Zweig, "Wall Street's Wisest Man," *Money,* June, 2001, pp. 49–52.**

[1] **Alternatively, you could buy back the call option, but you would have to take a loss on it—and options can have even higher trading costs than stocks.**

[1] **To put this statement in perspective, consider how often you are likely to buy a stock at $30 and be able to sell it at $600.**

[2] **Benjamin Graham, *The Intelligent Investor* (Harper & Row, 1949), p. 4.**

[3] **A "hedge fund" is a pool of money, largely unregulated by the government, invested aggressively for wealthy clients. For a superb telling of the LTCM story, see Roger Lowenstein, *When Genius Failed* (Random House, 2000).**

[4] **John Carswell, *The South Sea Bubble* (Cresset Press, London, 1960), pp. 131, 199. Also see www.harvard-magazine.com/issues/mj99/damnd. html.**